HEYOKHA BROTHERS · DAILY MARKET INTELLIGENCE

Daily Need to Know

Wednesday, 12 August 2026 · pre-market brief · all times GMT+8 (HKT)

COVERING The Tuesday 11 August US cash session as settled (16:00 ET = 04:00 GMT+8 this morning), the overnight futures, FX, metals and crypto tape, Tuesday's news flow including two significant post-close earnings reports, and the Asian session now in progress. Live marks were captured in a tight window, 09:19–09:28 GMT+8 Wednesday. Tokyo, Seoul, Sydney, Singapore, Taipei, Bangkok and Wellington are trading; Hong Kong and the mainland were at or just before the opening bell when this brief was cut, so those levels are Tuesday's closes carried forward and are marked as such.

EDITION FULL — Hedgeye logged-in edition. app.hedgeye.com was reachable and four items were read in full: Keith McCullough's Early Look *“Deep #Quad3 Beliefs”* (11 Aug, 07:38 ET) carrying the complete sixteen-line Risk Range table; *“The Yield Curve Is The Thing To Get Right”* from Tuesday's Macro Show (11 Aug, 12:58 ET); Felix Wang's *“Remove Samsung Long”* (11 Aug, 13:18 ET); and the Crypto Quant note. Section 4 is built from those. One live tension inside the Hedgeye set — the Samsung exit against this morning's Korean tape — is flagged there rather than smoothed over. Note that the Risk Ranges were published Tuesday morning and are therefore computed off *Monday's* close; section 4 marks Tuesday's actual settles against them, which is where the information is.

METHOD Index, sector and single-stock levels were cross-checked across two independent vendors before use; where they disagreed the official exchange close was taken. The primary quote feed normally used for this brief was unavailable on plan grounds this morning, so all equity marks are sourced from public exchange-reported closes. Treasury yields are official Treasury Department par yields.

TL;DR

The index fell and almost nothing else did. The S&P 500 closed 7,728.20, down 24.91 points or 0.32%, and finished 21.8% up a 50-point range — near the low. But the NYSE Composite *rose* 0.07%, the Russell 2000 rose 0.32%, and the Philadelphia Semiconductor Index rose 0.87%. Four of eleven sectors were green. The headline decline was, to a first approximation, one stock: Alphabet fell 3.84% and shed roughly $168 billion, more than half the combined market-value loss of the eight largest names. Strip Alphabet out and Tuesday was a flat-to-better tape.

Underneath, the #Quad3 trade kept compounding. Energy was the best sector at +1.25% and utilities second at +1.16%. Crude stayed bid on a hardening US–Iran standoff — WTI is 83.92 as this goes out, up 0.87% overnight, with Brent at 89.61. And the 2s10s curve steepened to +48bp, a third consecutive steepening and a new cycle high. Hedgeye published the matching call at 12:58 ET Tuesday: the curve is *“the thing to get right”*, and if Fed dovishness bottoms coming out of CPI the two-year heads toward 4.16%. It closed 4.22%.

Everything is a placeholder until 20:30 GMT+8 tonight. July CPI is consensus +0.1% m/m and 3.4% y/y headline against 3.5% in June, core +0.1% and 2.5% against 2.6%. The asymmetry is unusual: the market prices a September ***hike*** — note the direction — and Cleveland's Beth Hammack said Monday it may take more than one. Prediction markets, meanwhile, lean *below* consensus, with Kalshi putting only a 15% chance on a print above 3.4%. A soft core number collapses the hike premium and steepens the curve further; a firm one puts September live. Every position in this brief is a position ahead of that number.

1 Market snapshot — Tuesday 11 August, as settled

ASSET	LAST	CHANGE	NOTE
US CASH EQUITIES — SETTLED CLOSE, TUE 11 AUG, 16:00 ET (04:00 GMT+8 WED)			

ASSET	LAST	CHANGE	NOTE
S&P 500	7,728.20	▼ -24.91 / -0.32%	Ranged 7,717.25–7,767.51 and closed 21.8% up that range — a weak finish. Opened at the high. Volume 2.503bn against 2.14bn Monday, up 17%. Sits 0.84% below the 52-week high of 7,793.68 set 5 August.
Nasdaq Composite	26,445.45	▼ -159.91 / -0.60%	Nearly twice the S&P's decline. Ranged 26,372.31–26,679.26, closed 23.8% up range. Now 2.74% below the June record of 27,190.21.
Nasdaq 100	29,525.48	▼ -96.33 / -0.33%	Half the Composite's loss. The damage was broader than the top 100 — the opposite of Monday, when mega-cap tech led down.
Dow Jones Industrial	53,791.85	▼ -184.13 / -0.34%	The weakest close of the four majors: 9.5% up a 476-point range. High 54,222.85 came early; it never traded there again. Lost the 54,000 handle for a second session.
Russell 2000	3,027.12	▲ +9.72 / +0.32%	The only major up. Small caps read the front end, and the front end rallied 3bp. Sits 0.71% below its 52-week high of 3,048.85.
Philadelphia SOX	12,098.47	▲ +104.61 / +0.87%	Bounced, but recovered only 28.8% of Monday's 362.93-point rout. Closed 46.5% up range. This is a stabilisation, not a reversal.
NYSE Composite	24,685.57	▲ +17.69 / +0.07%	The tell. The broad tape was up while the cap-weighted S&P was down 0.32%. Breadth was not the problem on Tuesday.
Dow Transports	21,297.61	▼ -68.47 / -0.32%	Down in line with the S&P. A 0.9% overnight rise in crude is a direct cost line for the rails, truckers and airlines in this index.
Dow Utilities	1,099.91	▲ +11.82 / +1.09%	Confirms XLU at +1.16%. The bond proxy worked on a day the whole curve rallied.
US INDEX FUTURES — LIVE GLOBEX MARKS, 09:21 GMT+8 WED			
ES (E-mini S&P, Sep 26)	7,750.50	▲ +3.00	Basis to cash +22.30 against a fair value of 9.70, implying a soft open of roughly −6.7 points. Flat, waiting.
NQ (Nasdaq 100, Sep 26)	29,659.75	▲ +33.75	The only future with a positive implied open, +19.3 on fair value of 14.48. CoreWeave and Supermicro after the bell are the reason.
YM (Dow, Sep 26)	53,865	▼ -15	Implied open −46.9 against fair value of 31.85 — the softest of the four.
RTY (Russell 2000, Sep 26)	3,034.80	▼ -0.70	Implied open −4.3. Small caps give back a fraction of Tuesday's outperformance.
US TREASURIES — OFFICIAL PAR YIELDS, CLOSE 11 AUG, CHANGE VS 10 AUG			
2-year	4.22%	▼ -3 bp	From 4.25%. The biggest move on the curve and the one that matters: Hedgeye's stated destination on a dovish CPI is 4.16%, now 6bp away.
5-year	4.39%	▼ -2 bp	From 4.41%. The belly moved with the front.
10-year	4.70%	▼ -2 bp	From 4.72%. Still above the 4.67% May inflation-cycle high, and inside the 4.61–4.76 Risk Range at 60% up range. Live 4.69% this morning.
30-year	5.24%	▼ -1 bp	From 5.25%. The long end is sticky — it fell

ASSET	LAST	CHANGE	NOTE
			least, which is what keeps the curve steepening.
2s10s spread	+48 bp	▲ +1 bp	New cycle high. Third consecutive steepening: +46 on Friday, +47 Monday, +48 Tuesday. This is the single cleanest #Quad3 signal on the board.
10s30s spread	+54 bp	▲ +1 bp	Also steeper. The whole curve is rotating around a pinned front end and an unanchored long end.
VOLATILITY			
VIX	15.28	▼ -0.18 / -1.16%	Ranged 15.23–15.61 and closed at the low. Inside the 13.25–17.74 Risk Range at 45%. Remarkably calm for a CPI eve that could put a September hike live.
VXN (Nasdaq vol)	22.38	▼ -0.66 / -2.86%	Fell more than the VIX on a day the Nasdaq fell more than the S&P. Ratio to VIX 1.46 — the options market is treating the Alphabet move as idiosyncratic, not systemic.
OVX (oil vol)	54.99	▼ -1.07 / -1.91%	Down for a second day even as crude rose. The market is pricing a slow grind in oil, not a Hormuz gap.

2 The big picture — what it means

A one-stock index day. The eight largest US companies shed roughly $309 billion of combined market value on Tuesday, and Alphabet alone accounted for $168 billion of it — 54% of the total, from a single 3.84% move. Amazon contributed another $63 billion at −2.09%, Apple $49 billion at −1.09%, Broadcom $30 billion at −1.50%. Against that, Meta added $11 billion and Tesla $8 billion, and Nvidia — the stock everyone is arguing about — closed dead flat at 217.50, down two hundredths of one percent on 101 million shares. That is the largest company on earth, at $5.26 trillion, doing nothing at all while the market around it rotated.

The breadth data says this was not a risk-off session. The NYSE Composite rose. The Russell 2000 rose. The semis rose. The Nasdaq 100 fell half as much as the Nasdaq Composite, which means the weakness was not concentrated in the biggest names — it was Alphabet plus a broad, shallow drift. Four sectors closed green and the two leaders, energy and utilities, are precisely the two you would expect to lead in the regime Hedgeye is calling. An equal-weighted S&P would have been close to unchanged.

The bond market did something more interesting than the stock market. Every tenor rallied, but not equally: the two-year fell 3bp, the ten-year 2bp, the thirty-year 1bp. That is a bull steepening, and it took 2s10s to +48bp — the third consecutive daily steepening and a fresh cycle high. Read it alongside Monday, when the entire curve sold off 6–7bp, and the message is that the front end is starting to price a Fed that cannot hike as hard as the September pricing implies, while the long end refuses to come down because the inflation and supply problem is not going away. That is the textbook shape of a stagflationary regime, and it is the one signal on this page that has been consistent for three sessions running.

WHAT TO ACTUALLY WATCH TODAY

The core CPI print at 20:30 GMT+8 is the whole session. Three things resolve off it. First, the September hike premium — currently real, and the reason the two-year sits at 4.22% rather than 4.00%. A soft core number collapses it and, per McCullough's Tuesday framing, sends the two-year toward 4.16% and steepens the curve further. Second, the bond proxies, which disagreed violently on

Tuesday: utilities were the second-best sector at +1.16% while real estate was the worst at −0.72%, on the same day the whole curve rallied. One of those is wrong. Third, the long-duration equity complex — a firm print puts the semis back under the pressure they only partly escaped on Tuesday.

The setup into it is unusually quiet. VIX closed at the session low at 15.28. Oil vol fell for a second day while crude rose. Futures are within a handful of points of fair value. The market is not hedged for a surprise in either direction, which is normally when surprises cost the most.

3 Rates, currencies & commodities

ASSET	LAST	CHANGE	NOTE
CURRENCIES — LIVE MARKS, 09:25 GMT+8 WED			
US Dollar Index (DXY)	99.80	▼ -0.03%	Essentially unchanged for a second session and pinned mid-range inside Hedgeye's 99.35–100.30 (bearish) band at 47%. The dollar is not expressing a view ahead of CPI.
EUR/USD	1.1540	▼ -0.02%	Flat. The euro has done nothing for three sessions.
USD/JPY	159.31	▲ +0.03%	Creeping toward 160 again. With the US long end sticky at 5.24% and the BoJ still behind, this remains the cleanest carry expression — and the one most exposed to a soft US print.
GBP/USD	1.3500	unch	Unchanged.
USD/CNY	6.745	▼ -0.003%	Stable. The fix has been remarkably well behaved through the oil move.
AUD/USD	0.7060	unch	Flat despite copper firming. The Australian dollar is not trading the commodity story this week.
USD/CHF	0.8110	▲ +0.10%	Marginal franc weakness — no safe-haven bid despite the Iran headlines.
USD/SGD	1.2800	▲ +0.09%	Rangebound.
ENERGY — LIVE MARKS, 09:25 GMT+8 WED			
WTI crude (Sep 26)	$83.92	▲ +0.87%	Up for a third session on the hardening US–Iran standoff. Inside Hedgeye's 75.23–87.42 (bullish) range at 71%. Hedgeye's AI Alpha Code for WTI is 8082 — bullish on both TRADE and TREND.
Brent crude	$89.61	▲ +0.79%	Spread to WTI $5.69. A sustained Brent above $90 is the level at which the CPI energy complaint stops being about base effects and becomes a live 2027 problem.
RBOB gasoline	$3.164	▲ +0.88%	Tracking crude. This is the line that feeds through to the US consumer and, with a lag, into the print the market is waiting for tonight.
Natural gas	$2.755	▼ -0.43%	The one energy contract not participating. Inside a 2.60–2.83 range Hedgeye still signals bearish, at 67%.
METALS — LIVE MARKS, 09:25 GMT+8 WED			

ASSET	LAST	CHANGE	NOTE
Gold	$4,430.60	▼ -0.24%	Softer overnight but still 83% up a 4166–4484 bullish range. The December contract is firmer at 4,452.80, +0.26%.
Silver	$64.91	▼ -0.04%	Flat, and 81% up a 56–67 range Hedgeye rates neutral — the only neutral signal in the sixteen.
Copper	$6.648	▲ +0.21%	Firm, 57% up a 6.41–6.83 bullish range. Copper agreeing with crude is what makes the reflation read coherent rather than purely geopolitical.
CREDIT & DURATION — TUESDAY CLOSE			
HYG (high yield)	$79.51	▲ +0.04%	83% up its 78.96–79.62 range and pressing the top. High yield is not corroborating any growth scare — spreads are behaving.
LQD (IG credit)	$105.99	▲ +0.03%	46% up a 105.3–106.8 range Hedgeye now signals bearish, having flipped it from long to short on Monday.
TLT (20yr+ Treasury)	$82.19	▲ +0.16%	Up marginally with the curve rally. Also flipped to short in Monday's ETF Pro rebuild — a position that cost a little on Tuesday.
CRYPTO			
Bitcoin	$63,570	▼ -0.63%	Drifting. Hedgeye's Crypto Quant has BTC/BMNR back to bearish and flags 14 August as a regulatory catalyst. Bitcoin has been a non-participant in the whole #Quad3 move.

4 Hedgeye — regime, Risk Ranges & the Quad path

The house call is #Quad3 and it is getting louder. Tuesday's Early Look, *“Deep #Quad3 Beliefs”* (11 Aug, 07:38 ET), leads with the signal set rather than the narrative: oil back to bullish TRADE and TREND, the CRB commodities index back to bullish TRADE and TREND, the two-year yield back to bullish TRADE and TREND, the ten-year still bullish on both, and the curve steepening to what was then a +47bp cycle high. Tuesday's session added a basis point to that. Every one of those six signals is still intact this morning.

The factor data behind it is the part most people miss. On Monday — the session the Early Look describes — High Beta Momentum fell 3.7% and TMT Momentum 3.8% while SPY fell 0.1%. A retail-proxy basket lost 1.0%. Healthcare, meanwhile, rose 1.7% to new August cycle highs, with FXH printing an all-time high. That is a 3.6-point spread between the factor being sold and the index, on a day the index did nothing. Tuesday was the milder version of the same trade.

RISK RANGES™ — PUBLISHED TUE 11 AUG 07:38 ET OFF MONDAY'S CLOSE, MARKED AGAINST TUESDAY'S SETTLE

INSTRUMENT	RISK RANGE	SIGNAL	LATEST	POSITION IN RANGE
S&P 500 (SPX)	7,550 – 7,924	Bullish	7,728.20	48% — mid-range, no stress
Nasdaq Comp (COMPQ)	25,402 – 27,111	Bullish	26,445.45	61%
Russell 2000 (RUT)	2,962 – 3,075	Bullish	3,027.12	58% — improved on the day
Technology (XLK)	174 – 192	Bullish	186.09	67%
Health Care (XLV)	162 – 170	Bullish	168.01	75% — back inside after

INSTRUMENT	RISK RANGE	SIGNAL	LATEST	POSITION IN RANGE
				Monday
Real Estate (XLRE)	44.06 – 46.01	Bullish	44.08	**1% — two cents off the low**
UST 10-year yield	4.61 – 4.76%	Bullish	4.70%	60% — live 4.69%
High Yield (HYG)	78.96 – 79.62	Bullish	79.51	83% — pressing the top
IG Credit (LQD)	105.30 – 106.80	Bearish	105.99	46%
Volatility (VIX)	13.25 – 17.74	Bearish	15.28	45%
US Dollar (DXY)	99.35 – 100.30	Bearish	99.80	47%
WTI Crude	75.23 – 87.42	Bullish	83.92	71% — AI Alpha Code 8082
Natural Gas	2.60 – 2.83	Bearish	2.755	67%
Gold	4,166 – 4,484	Bullish	4,430.60	83%
Copper	6.41 – 6.83	Bullish	6.648	57%
Silver	56 – 67	Neutral	64.91	81% — the only neutral signal

THREE THINGS WORTH FLAGGING

1. Nothing broke, but real estate is sitting on the line. Every one of the sixteen instruments closed inside its published Risk Range on Tuesday — a cleaner result than Monday, when both anchor equity longs breached. But XLRE closed 44.08 against a range low of 44.06. Two cents. It was also the worst sector of the day at −0.72%, and it fell on a session when the entire Treasury curve *rallied*. A bond proxy that cannot rally when yields fall is telling you the problem is not rates — it is the underlying asset. Watch whether Hedgeye's bullish XLRE signal survives tonight's print.

2. The curve call is explicit and testable. From Tuesday's Macro Show: heading *into* Quad 4 you get high-beta momentum down, high-yield spreads widening and the curve compressing or inverting. Hedgeye's read is that the storm is now moving *out* of Quad 4 — though, in McCullough's words, maybe not yet for semis and high-beta momentum. The falsifiable part: if Fed dovishness bottoms coming out of CPI, the curve steepens further and the two-year heads toward the low end of its range near 4.16%. It closed 4.22%. HYG at 83% of range and pressing the top corroborates the spread half of the argument.

3. The Samsung exit lands awkwardly against this morning's tape. At 13:18 ET Tuesday, Felix Wang removed the Samsung Electronics (5930.KR) long after a greater-than-250% run since the July 2025 pivot — thesis played out, DRAM and NAND sequential ASP growth has peaked, long-term agreement prices dropping 20–25%, and the edge on HBM4E handed back to SK Hynix. Roughly nineteen hours later the KOSPI is up 2.48%, the best market in Asia this morning, on the back of Korean semiconductor exports running +155.4% year-on-year in the first ten days of August. Both can be true — a de-rating call is about multiples, not next month's export data — but the timing is worth marking, and it is the sort of divergence that resolves quickly.

5 Mag7 scoreboard — Tuesday 11 August close

STOCK	CLOSE	CHANGE	MKT CAP	P/E	VOL	READ
Alphabet GOOGL	343.80	▼ **-3.84%**	$4.20tn	17.3	29.1M	Worst in the group and the single biggest drag on the index. Three drivers landed together — see §9.
Amazon AMZN	272.27	▼ **-2.09%**	$2.94tn	21.9	31.9M	Second worst. A 0.9% crude move is a direct

STOCK	CLOSE	CHANGE	MKT CAP	P/E	VOL	READ
						cost line for the logistics network.
Broadcom AVGO	416.08	▼ -1.50%	$1.98tn	69.3	12.9M	Fell while the SOX rose 0.87% — the custom-silicon complex lagged the memory and equipment names.
Apple AAPL	304.91	▼ -1.09%	$4.45tn	35.0	37.5M	No stock-specific news. Second-largest company on earth drifting with the tape.
Microsoft MSFT	503.81	▼ -0.44%	$3.74tn	28.1	23.0M	Outperformed the Composite. Held the 500 handle comfortably.
Nvidia NVDA	217.50	▼ -0.02%	$5.26tn	33.3	101.3 M	Unchanged on the heaviest volume in the group by a factor of three. Enormous two-way flow, zero net move.
Meta META	599.12	▲ +0.71%	$1.53tn	22.6	13.1M	Best of the group. Signed a $21bn CoreWeave capacity deal through 2032 — buying compute rather than building it.
Tesla TSLA	332.81	▲ +0.58%	$1.31tn	309.2	23.3M	Green, on the richest multiple in the index by an order of magnitude.

The dispersion is the point. Six down, two up, and a 4.55-point spread between Alphabet at −3.84% and Meta at +0.71% — two companies in the same sector, on the same index, on the same day. Alphabet now trades on 17.3x against Meta's 22.6x and Nvidia's 33.3x. It is the cheapest of the group by a wide margin and has been for some time; Tuesday made it cheaper. Whether that is value or a warning depends entirely on what you think $205 billion of annual capex buys.

6 Positioning & options

- **Volatility is not priced for tonight.** VIX closed 15.28, at the low of a 15.23–15.61 range, down 1.16% on CPI eve. That is 45% of the way up a Risk Range Hedgeye signals bearish. For context, the band's top at 17.74 is 16% above spot — the options market is allowing for a move, but not budgeting for the September-hike repricing that a firm core number would force.
- **Nasdaq vol fell harder than index vol.** VXN dropped 2.86% to 22.38 on a day the Nasdaq Composite fell 0.60%. The VXN/VIX ratio at 1.46 is unremarkable. Taken together with the Nasdaq 100 falling only half as much as the Composite, the read is that Tuesday's tech weakness was digested as a single-name event, not a de-rating of the complex.
- **Oil vol is falling into a rising oil price.** OVX fell 1.91% to 54.99, a second consecutive decline, while WTI rose for a third session. Traders are pricing a grind, not a gap — which is a specific and falsifiable view on the Strait of Hormuz, and the cheapest place to be wrong on this page.
- **Momentum remains the funding leg.** Hedgeye's factor data has High Beta Momentum −3.7% and TMT Momentum −3.8% on Monday against SPY −0.1%. Tuesday's SOX bounce of +0.87% recovered less than 30% of Monday's 2.94% loss, which is consistent with covering rather than re-risking. McCullough's own caveat — that the shift out of Quad 4 may *not yet* apply to semis and high-beta momentum — is the right frame here.
- **Credit is offering no warning.** HYG closed 79.51, 83% up its range and pressing the top, +0.04% on the day. If a growth scare were building it would show here first, and it is not showing.

7 Sector rotation — leaders & laggards

#	SECTOR · ETF	CLOSE	CHANGE	READ
1	**Energy · XLE**	$60.93	▲ +1.25%	Best sector for a second consecutive session. Follows Monday's +4.66%. Crude up three days running on Hormuz; the S&P energy sub-index agrees at +1.06%.
2	**Utilities · XLU**	$43.63	▲ +1.16%	A complete reversal of Monday's −1.10%. The Dow Utility Average confirms at +1.09%. The bond proxy worked because the whole curve rallied.
3	**Industrials · XLI**	$185.70	▲ +0.60%	Third consecutive session of relative improvement, and a reversal of Monday's −0.31%. Notable given Transports fell 0.32%.
4	**Materials · XLB**	$53.24	▲ +0.11%	Marginally green on firm copper. Materials is the best sector over one week at +5.08% on the uncapped basis.
5	**Financials · XLF**	$57.80	▼ -0.02%	Flat to a hundredth. A steeper curve helps net interest margin, but the front-end rally offsets it.
6	**Technology · XLK**	$186.09	▼ -0.12%	Held up far better than the Composite and far better than Monday's −0.88%. 67% up its 174–192 range.
7	**Health Care · XLV**	$168.01	▼ -0.26%	Gave back a fraction of Monday's +1.67%. Still 75% up range and the standing Hedgeye equity long, held two ways via XLV and FXH.
8	**Cons. Staples · XLP**	$84.69	▼ -0.31%	Defensives again not bid — second straight down session. Consistent with a market that is rotating, not de-risking.
9	**Cons. Discretionary · XLY**	$119.24	▼ -0.36%	Amazon at −2.09% did most of this. The S&P discretionary sub-index fell 0.75% on the uncapped basis.
10	**Comm. Services · XLC**	$111.27	▼ -0.50%	Ranged 111.11–112.28. Alphabet down 3.84%, Meta up 0.71% — the two largest holdings pulling directly against each other.
11	**Real Estate · XLRE**	$44.08	▼ -0.72%	Worst sector, and closed two cents above the bottom of its Risk Range — on a day every Treasury tenor rallied. The single most uncomfortable datapoint in this brief.

A WEIGHTING ARTEFACT WORTH UNDERSTANDING

The capped ETF understates what happened to Alphabet. XLC fell 0.50% on Tuesday. The uncapped cap-weighted communication services index fell 2.06% — a 156 basis point gap on the same underlying stocks. The difference is entirely the 25% single-issuer cap that XLC must respect: Alphabet is roughly 47% of the sector by market value but far less of the ETF. If you are using XLC to judge sector damage you are reading a number that has been deliberately smoothed. On Tuesday, communication services was the worst sector in the market by a wide margin, not the second worst by a whisker.

8 Forward — overnight futures & the week ahead

The overnight tape is doing nothing, deliberately. ES sits 7,750.50, three points higher, implying an open about 6.7 points below Tuesday's cash close once fair value of 9.70 is applied. NQ is the only contract with a positive implied open at +19.3, which is the CoreWeave and Supermicro results being priced. YM implies −46.9 and RTY −4.3. In aggregate: flat, with a mild tech bid. Nobody is taking a position ahead of 20:30.

THE CALENDAR FROM HERE — ALL TIMES GMT+8

WHEN	EVENT	WHY IT MATTERS
Today 19:00	MBA Mortgage Applications & 30-yr rate	Prior index 240, prior rate 6.81%. A minor print, but the mortgage rate is the transmission channel for the real estate weakness flagged in §7.
Today 20:30	**July CPI — headline & core**	The session. Consensus +0.1% m/m and 3.4% y/y headline (June 3.5%); core +0.1% m/m and 2.5% y/y (June 2.6%). June headline was −0.4% m/m, so the base effect alone argues for a bounce.
Today, post-print	September Fed pricing resets	The market currently prices a hike, not a cut. Watch the two-year against 4.16% and 2s10s against +48bp — those two numbers tell you what the front end concluded before the equity market works it out.
This week	AI capex read-through continues	CoreWeave and Supermicro reported Tuesday after the bell. Intel and Nvidia financing plans remain under scrutiny. §13.
Fri 14 Aug	Crypto regulatory catalyst	Flagged in Hedgeye's Crypto Quant as “Regulation Crypto”. Bitcoin has been a non-participant all week and sits at 63,570.

9 Corporate news

1. **Alphabet fell 3.84% on three things at once.** First, a leadership shake-up at the top of the AI organisation: Demis Hassabis is stepping down as chief executive of Google DeepMind while remaining chairman, and Jeff Dean — one of the most senior AI scientists in the company's history — is leaving to start a new venture. Second, the 2026 capital-spending forecast was raised to $195–205 billion from $180–190 billion, another $15 billion into infrastructure, with the free-cash-flow consequence that implies. Third, the company closed a $25 billion underwritten senior notes offering with maturities running from 2028 to 2066 — a material step up in leverage to fund data centres. Separately, a federation of close to 300 French publishers filed a competition complaint with France's antitrust authority alleging that AI Overviews illegally diverts traffic from news sites. Any one of these is a headline; together they took $168 billion off the market value in a session.
2. **CoreWeave doubled revenue and the loss doubled with it.** Q2 revenue $2.58 billion against $1.21 billion a year ago — up 113% — and a shade ahead of the $2.56 billion consensus. Backlog stood at roughly $104 billion at 30 June, before more than $25 billion of net new customer commitments the company says it secured in the early weeks of Q3. Q3 guidance is $3.45–3.60 billion. New business includes a $21 billion agreement to supply Meta with AI cloud capacity through 2032, layered on top of an existing $14 billion commitment, and a multi-year deal with Anthropic to provide compute for its Claude models. The other side: net loss widened to $626 million from $290 million, driven by net interest expense of $640 million in the quarter against $267 million a year ago — more than double. Loss of $1.14 per share. The stock rose roughly 11–14% in extended trading.
3. **Supermicro also jumped after the bell** on its fiscal Q4 report, with accelerating AI demand cited. It closed the regular session at 31.60, up 0.45%. Together with CoreWeave this is the reason NQ is the only US future with a positive implied open this morning.
4. **Hedgeye removed its Samsung Electronics long** at 13:18 ET. See §4 — the reasoning is a peaked ASP cycle, long-term agreement prices down 20–25%, HBM4E edge handed to SK Hynix, and a de-rating of memory from growth to durability. Samsung had risen more than 250% since the July 2025 pivot.
5. **Single-name dispersion was extreme.** On the downside: Life360 −24.8%, On Holding −20.3%, Hub Group −19.8%, eToro −13.7%, Nayax −13.1%. On the upside: NIQ Global +42.0%, Alamar Biosciences +30.7%, Septerna +22.9%, Fermi +21.1%, NextNav +15.6%. A 0.32% index move is concealing a very active stock-picker's tape.
6. **Intel closed 97.71, up 0.19%,** on the heaviest volume in the market. Its fundraising alongside Nvidia's is what is keeping the AI financing structure under scrutiny — see §13.

10 Macro data

Tonight's print, in detail. July CPI lands 20:30 GMT+8. Consensus is +0.1% month-on-month for headline against a −0.4% June reading, taking the year-on-year rate to 3.4% from 3.5%. Core is +0.1% month-on-month against a flat June, with the year-on-year falling to 2.5% from 2.6%. Note the shape of that: June's headline was *negative*, so a merely unremarkable July still produces a bounce in the monthly figure, and the year-on-year decline is being delivered by the base effect rather than by disinflation in the current data. Forecasters broadly expect the report to show price pressure continuing at a pace the Federal Reserve would not be comfortable with.

Prediction markets disagree with the economists. Kalshi traders put less than a 55% chance on the year-on-year print coming in above 3.3%, and only 15% odds on it exceeding 3.4%. That is a market positioned meaningfully softer than the 3.4% consensus. If they are right, the September hike premium in the two-year unwinds quickly.

The policy backdrop is genuinely unusual. Friday's employment report came in softer than expected, and rather than pulling forward cuts, the market moved *toward* a September rate hike. Cleveland Fed president Beth Hammack — who dissented hawkish in July — said on Monday that it may take more than one rate increase to bring inflation down. A central bank contemplating tightening into a softening labour market is the definition of the stagflationary problem, and it is exactly the configuration Hedgeye's #Quad3 framework is built to describe.

The curve is already voting. 2s10s has steepened for three consecutive sessions to a cycle-high +48bp, with the front end rallying harder than the long end. That combination — a market simultaneously reducing near-term policy expectations and refusing to bring the long end down — is the bond market saying it believes the inflation problem is structural and the Fed's ability to respond is constrained.

11 Geopolitics

The US–Iran standoff hardened over the weekend and has not softened since. President Trump publicly rebuked Iran's demand for reparations and told Axios that Washington is *"only semi-negotiating with them"*, indicating he would wait for economic pressure to build rather than concede. Iranian foreign minister Abbas Araghchi responded that there is *"no possibility of restarting negotiations"* until the United States compensates Iran for violations of the June memorandum of understanding. Both sides have now staked out positions that make a near-term reopening of the Strait of Hormuz materially less likely than the market assumed a week ago.

The market expression is narrow and specific. Crude has risen for three consecutive sessions; WTI is 83.92 and Brent 89.61 this morning. Energy has been the best-performing US sector on both Monday and Tuesday. But oil volatility is *falling* — OVX down 1.91% to 54.99, a second consecutive decline — which says traders are pricing a persistent supply premium rather than a disruption event. That is a coherent view, and it is also the consensus view, which makes it the one most exposed to a headline.

Why it matters tonight. Energy is a direct CPI input with a short lag. A crude complex that keeps grinding higher through August feeds the September and October prints, not tonight's July data — but it shapes how the market interprets tonight's number. A soft July core reading against a rising oil price is a harder thing for the doves to press than it looks.

12 Overnight setup — what Asia is trading into

MARKET	LEVEL	CHANGE	STATUS & READ
KOSPI	6,502.65	▲ +2.48%	Open, and the best market in Asia by a distance. Korean semiconductor exports ran +155.4% year-on-year in the first ten days of August at $9.95bn. Follows a +1.27% Tuesday close at 6,425.88. Note §4 — Hedgeye exited Samsung nineteen hours ago.
Taiwan TWSE	45,464.95	▲ +0.76%	Open and firm, tracking Korea and the SOX bounce. Closed +0.43% on Tuesday. The North Asia semiconductor complex is the clear regional leader this morning.
Malaysia KLCI	1,733.75	▲ +0.13%	Open, marginally firmer, reversing a −0.23% Tuesday.
Nikkei 225	66,895.21	▼ -0.11%	Open and soft. Tuesday closed +0.12% at 67,050.63, the first full session back after Mountain Day. USD/JPY at 159.31 is doing the exporters no harm; this is index-level indifference ahead of CPI.
ASX 200	9,207.40	▼ -0.47%	Open and the weakest major in Asia. Extends Tuesday's −0.45%. Two consecutive down sessions despite firm commodities.
Straits Times	5,739.87	▼ -0.25%	Open, giving back part of a strong +0.98% Tuesday that took it to 5,754.17, right at the 52-week high of 5,774.21.
Thailand SET	1,612.62	▼ -0.72%	Open and the weakest in the region this morning.
NZX 50	13,810.18	▼ -0.36%	Open and lower for a second session.
Shanghai Composite	3,934.08	—	At the bell — unchanged from Tuesday's 3,934.09 close, which was itself −0.82%. No live read yet.
Shenzhen Component	14,259.44	—	At the bell. No live read yet.
Hang Seng	25,652.82	—	Pre-open. Tuesday's close was −1.10%, the worst in Asia, and the index has now given back the whole of last week's rally. Opens into a firm Korean tape and a flat US futures board.
Nifty 50	24,471.70	—	Pre-open. The Sensex fell 0.49% on Tuesday to 78,154.25.

The regional split is clean and it is about semiconductors. Korea and Taiwan are up; everything else in Asia is flat to lower. That is the SOX bounce and the Korean export data being expressed directly. It is also the sharpest available test of Hedgeye's Samsung exit and of McCullough's own caveat that the move out of Quad 4 may not yet extend to semis — because this morning, in Asia, it plainly is extending to semis.

Europe closed mixed on Tuesday and offers little steer: DAX +0.26% to 26,391.42, FTSE 100 −0.17% to 10,844.19, CAC 40 −0.13% to 8,714.94. Latin America was the ugly corner of the world — Ibovespa −2.50%, Merval −3.19%, IPC Mexico −1.32% — worth noting as an EM risk-appetite signal that did not show up anywhere in the US tape.

13 AI watch

The financing question got a real answer on Tuesday night, and it cut both ways. CoreWeave is the purest available read on whether AI infrastructure demand is real, and the demand line is emphatic: revenue up 113% year-on-year to $2.58 billion, a $104 billion backlog before more than $25 billion of new Q3 commitments, a $21 billion Meta contract running to 2032 on top of an existing $14 billion, and a multi-year Anthropic agreement. You cannot look at that and argue the demand is imaginary.

The cost of funding it is the other half. Net interest expense was $640 million in a single quarter, up from $267 million a year earlier. That is more than double, and it is why the net loss widened to $626 million from $290 million even as revenue doubled. Put plainly: CoreWeave's interest bill in Q2 was larger than its entire net loss, and roughly a quarter of its revenue. This is a business whose economics are now a function of the yield curve — which is the same curve that steepened to a cycle high on Tuesday.

THE TWO ARGUMENTS, STATED FAIRLY

Hedgeye's position, from Tuesday's Early Look, is scathing about the structure — *“6 of the richest institutions on earth writing each other checks in a $500 billion circular financing deal that doesn't even have to close”*, with the observation that while the post-close storytelling ran, people long High Beta Momentum were down 3.7% and TMT Momentum 3.8%. The argument is that the narrative and the price action have decoupled, and the price action is the honest one.

The counter-argument now has data behind it. A $104 billion contracted backlog with Meta and Anthropic as counterparties is not circular — those are cash-paying customers with independent businesses. Alphabet raising capex to $205 billion and issuing $25 billion of paper out to 2066 is a company funding real assets, and the market punished it 3.84% for doing so, which is hardly uncritical enthusiasm.

The synthesis worth holding: demand is real, the financing is increasingly rate-sensitive, and the equity market is now discriminating between the two. Alphabet was punished for spending. CoreWeave was rewarded for the backlog and will be judged on the interest line. Nvidia — the node everything routes through — closed unchanged on 101 million shares. That is not a market that has made up its mind.

- **Also on the board:** Intel and Nvidia fundraising efforts are keeping scrutiny on the capital intensity of the build-out; Hedgeye's Felix Wang appeared on Bloomberg Tuesday discussing Nvidia's $5 billion funding plan. Nebius rose 4.95% and Lumentum 0.87% in the AI-adjacent complex.
- **The memory sub-plot is now the most interesting trade in AI.** Hedgeye's call is that DRAM and NAND sequential ASP growth has peaked, long-term agreement prices are dropping 20–25%, and the sector de-rates from growth to durability — with CXMT and YMTC named as poorly-understood dark horses. Against that, Korean semiconductor exports are running +155% year-on-year. Volume data versus price data, pointing opposite ways.

14 Beyond the markets

- **US retirement policy.** The Treasury has indicated that so-called “Trump Accounts” could accept contributions directly from parents' paychecks, with employer matching. If implemented at scale this is a structural flow story for US equities over years, not a trading item — but it is the kind of plumbing change that quietly changes the demand curve for index products.
- **Vaccine policy.** The President has said he wants the MMR vaccine split into separate components. Public health experts quoted in coverage regard this as unlikely to happen and note it would carry consequences. Relevant to the vaccine manufacturers inside the healthcare complex that has been Hedgeye's best-performing long.
- **New York property tax.** Trump said the proposed NYC pied-à-terre tax “must be stopped” and is examining a federal block. A live item for high-end residential and, at the margin, for the REIT complex that was the worst sector on Tuesday.
- **European weather.** Record heatwaves are running through an already expensive European summer — a demand-side input for power and a cost input for the travel and leisure complex.
- **US politics.** Senator Darline Graham has advanced to a Republican special primary runoff in South Carolina.

15 Appendix — stock cards

Alphabet GOOGL · Comm. Services $343.80 -3.84%

- **Why it moved:** Demis Hassabis stepping down as CEO of Google DeepMind (staying chairman) and Jeff Dean departing to found a new venture; 2026 capex guidance lifted to $195–205bn from $180–190bn; a $25bn senior notes offering closed with maturities to 2066; and a competition complaint from ~300 French publishers over AI Overviews.
- **The numbers:** $4.20tn market cap after shedding roughly $168bn in a session — 54% of the combined loss across the eight largest US companies. Trades on 17.3x, the cheapest of the megacaps by a wide margin, against Meta at 22.6x and Nvidia at 33.3x.
- **The question:** whether a 17x multiple on a business spending $205bn a year and issuing forty-year paper is value or a warning. Tuesday's tape voted, but a 3.84% move on that news flow is arguably restrained.

CoreWeave CRWV · AI cloud infra. $90.32 +2.42%

- **Q2 result (post-close Tuesday):** Revenue $2.58bn vs $1.21bn a year ago, +113%, just ahead of $2.56bn consensus. Q3 guidance $3.45–3.60bn. Backlog ~$104bn at 30 June, plus >$25bn of net new commitments in early Q3.
- **The other side:** Net loss widened to $626mn from $290mn. Net interest expense $640mn in the quarter against $267mn a year ago — larger than the net loss itself and roughly a quarter of revenue. EPS −$1.14.
- **New business:** $21bn Meta agreement through 2032 on top of an existing $14bn commitment; multi-year Anthropic deal for Claude compute. Shares rose roughly 11–14% in extended trade. Regular-session close 90.32 was pre-print.

Nvidia NVDA · Semiconductors $217.50 -0.02%

- **The non-event that was an event:** Closed unchanged to two hundredths of a percent on 101.3 million shares — more than three times the volume of any other Mag7 name. Enormous two-way flow, zero net conviction.
- **Context:** $5.26tn market cap on 33.3x. Its $5bn funding plan is part of the financing structure Hedgeye is criticising, and Felix Wang discussed it on Bloomberg on Tuesday. The SOX rose 0.87% without help from Nvidia.
- **Watch:** Nvidia is the node the whole AI capex argument routes through. A market that cannot move it either way ahead of CPI is a market with no settled view.

Real Estate Select SPDR $44.08 -0.72%
XLRE · US REITs

- **The uncomfortable datapoint:** Worst sector on Tuesday, and it fell on a day when every Treasury tenor rallied — 2yr −3bp, 10yr −2bp, 30yr −1bp. A bond proxy that cannot rally on lower yields is signalling something about the underlying asset, not about rates.
- **Technically on the line:** Closed 44.08 against a Hedgeye Risk Range low of 44.06 — two cents, or 1% of the way up a range Hedgeye still signals bullish. Compare utilities, the other classic bond proxy, which was the second-best sector at +1.16%.
- **Catalyst:** MBA mortgage data at 19:00 GMT+8 (prior 30-year rate 6.81%) and then CPI at 20:30. A firm core print takes the range low out.

— end —